Selected mine case, changed interface scenario and funding

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Evidence state: LOCKED_DERIVED_IMPLEMENTATION with explicitly labeled PROVISIONAL_ASSUMPTION inputs

The original selected Red Wash operating model remains separately reproducible. It uses 175,000 short tons, 0.17% grade, 92% recovery, 547,400 pounds produced, 500,000 pounds sold and 172,400 pounds ending inventory. Its $27.95M production cost is incurred cost, not all cost of sales. Weighted-average inventory costing and the disclosed composite units-of-production depreciation method remain visible.

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Original modeled cash production cost released to sales     $24,966,538
Original modeled DD&A released to sales                        3,113,846
Original modeled pretax income                                1,100,116
Original modeled tax at 18%                                      198,021
Original modeled net income                                    902,095
Original cash from operations                                 1,522,479
Original sustaining plus rehabilitation capex                  9,000,000
Original free cash flow                                      (7,477,521)
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The integrated successor is a changed operating scenario. It separately adds the actual modeled 2026 ramp invoices, origin-carrier line-haul, mine-owned interface assets and depreciation, and the corrected ARO timing. It assumes zero displaced-carrier cost credit. This is a conservative scenario choice, not a claim that the mine actually buys duplicate services and not an unclosed blocker. A future evidence-based avoided-cost comparison can change that assumption without altering the recorded original case.

The $3.25M mine receiving/interface program is additional to the original $9M sustaining/rehabilitation program. It is paid February–June, 20% per month, with July 7 service commencement. The explicit twenty-year/full-month depreciation convention adds $81,250 in 2026. It is not rolled into the original $3.5M incurred composite DD&A silently. ARU's $5.25M shared Taylor assets are owned and depreciated separately. Neither side charges the entire capital cost back to the mine through a disguised service tariff.

Acquisition-to-opening ARO correction

The acquired liability is $16M at July 18, 2025. The integrated model applies 167 ACT/365 days at an effective 6.5% annual rate:

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H2 accretion = round($16,000,000 × (1.065^(167/365) - 1)) = $467,716
Integrated January 1, 2026 ARO = $16,467,716
2026 accretion = round($16,467,716 × 6.5%) = $1,070,402
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The H2 noncash charge reduces opening retained earnings; it is not paid with an invented matching cash settlement or injected as revenue. The original simplified model's $16M 2026 opening and $1.04M 2026 accretion remain in the baseline comparison only.

The current-cost scenario is $25M measured at January 1, 2026. An explicit 2026–2039 closure schedule assigns small progressive costs and calibrates the split of earlier reclamation and terminal closure to the carried opening liability. Nominal cash reflects 2.5% inflation and present value reflects 6.5% discounting. The table exactly reconciles the selected current cost and carried liability, subject to disclosed dollar rounding. **Calibration to a liability is not an independent engineering estimate.** The timing and scope must remain labeled accordingly.

The chosen new model assumption includes a December 2026 progressive cash settlement of $256,250, representing $250,000 January 2026 current cost inflated one year. It reduces the ARO and operating cash. It is not a new repair expense, not capex and not a second accretion expense. Full-year opening-balance accretion followed by a year-end settlement is the explicit convention. Closing ARO is therefore $17,281,868.

With the cost-derived interface, origin line-haul, new depreciation and corrected accretion, the integrated modeled pretax income is $729,684, tax $131,343 and net income $598,341. The 18% tax remains a transparent mine scenario convention; this is not a statutory tax computation. The integrated cash-flow statement includes actual modeled invoice payment timing, the separate progressive settlement and $12.25M total mine capex.

Opening balance and financing provenance

A complete trial balance requires opening balances that the old annual operating summary did not provide. The successor therefore declares its opening scenario: $2M cash, $4M external receivables, $6.3125M finished inventory, $0.5M prepaids, $50M modeled PPE basis, $3M trade payables, $2.5M other liabilities and the carried ARO. $44.3125M contributed equity consists of the $28M purchase, $11M stabilization funding and **$5.3125M explicitly modeled additional H2 working-capital funding**. The $3M stabilization repair expense and H2 ARO accretion reduce prior retained earnings. These are identified assumptions, not recovered bank payments or audited historical statements.

Monthly parent equity through Pale Sun maintains the mine's $2M operating cash floor. The resulting integrated 2026 contribution is $11,126,633. It funds the original deficit plus changed interface/closure cash requirements. Equity contributions credit capital, never revenue. The standalone selected case and the integrated case must not be mislabeled as identical annual economics.

The parent funding output also records ARU's $11M catch-up program, $5.25M shared interface program and any separately required liquidity contribution. Acquisition consideration, transaction fees, retention compensation, seller consulting, annual sustaining capital, catch-up capital and interface capital have different purposes and cash-flow classifications. The $15M interface ceiling is not a spend target; its unapproved $6.5M residual is absent from booked capex and funding.